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AN ACCOUNTANT IN a mid-sized company, Rahul Sharma from Moradabad has been living in Delhi since 2013. For the past many years, 35-year-old Sharma had been dreaming of buying a home in the Delhi National Capital Region (NCR). He was resigned to the fact that with his budget, he could only get a small house in the affordable housing segment. But when he finally entered the market last year, he picked a regular-sized property in Noida Extension for around ₹65 lakh. With two full-sized bedrooms, a dining room, a drawing room and a study-cum-kids room, the apartment is much larger than what he had planned for earlier. As for his budget, he ended up spending at least ₹20 lakh more than his initial estimate. That, however, didn't stop him from taking the plunge. And although he had to dip into his family's savings for that extra amount, the apartment is sufficient for his family's needs. "We wanted a larger home. If I had gone for an affordable home, I would have had to sacrifice on the quality of construction and settle for a 60 sq. m apartment," says Sharma.

While buying a regular-sized flat instead of an affordable house measuring 60 sq. m meant that he had to forego the subsidy he may have got under the government's Pradhan Mantri Awas Yojana (Urban) Mission, for his family, compromising on the quality and size of their first home didn't feel right. After all, most people from middle-income backgrounds purchase only one house during their lifetime. "So, why not strive for the best [that one can afford]?" he asks.

Sharma is not alone. Thousands of homebuyers who dream of purchasing their first property—especially in the affordable housing segment—are increasingly looking for better options. And if industry trends are anything to go by, India's affordable homes segment is on a downward path. As homebuyers shy away from the segment, the share of affordable homes in the overall residential real estate market is shrinking fast. From a high of 51 per cent in 2019, the share of affordable



SHAKY FOUNDATIONS



► **New supply and sales of affordable homes have been faltering since Covid-19, falling 20 and 11 percentage points, respectively, between 2019 and 2022**



► **With the cost of construction surging by healthy double digits and land prices soaring, affordable units are becoming unaffordable for developers to make**



► **Changing preference of homebuyers, from compact units to larger homes, has also impacted demand**



► **A lack of government measures to address the slide—like increasing the price cap of affordable homes from ₹45 lakh to ₹1 crore—remains a concern**



► **Developers are moving towards mid-income homes for greater returns as average home prices have surged 14 per cent in two years**